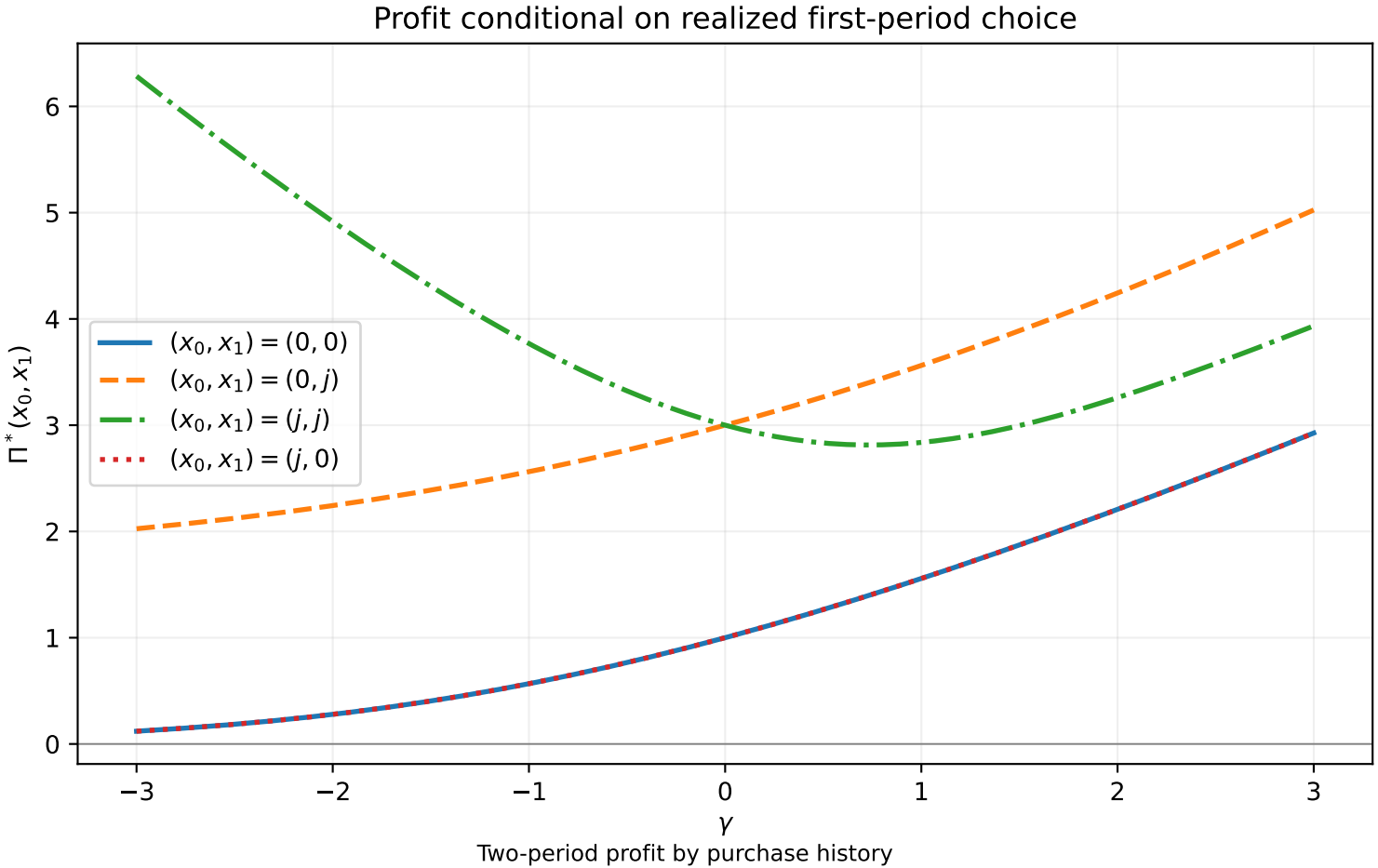
Profit conditional on realized first-period choice
$\Pi^*(x_0, x_1)$
γ
$(x_0, x_1) = (0, 0)$
$(x_0, x_1) = (0, j)$
$(x_0, x_1) = (j, j)$
$(x_0, x_1) = (j, 0)$
Two-period profit by purchase history